

control high inflation. Consider this: currently, while traditional banks are offering investors a 6-7% annual interest rate on FDs, small finance banks (SFBs) are giving as much as 8-9%. While FDs have been offering high returns, the experience of debt investors was not good in 2022 and 2023, as the interest rate tightening cycle resulted in mark-to-market (MTM) losses in the portfolio of high-duration funds. MTM captures the current market value of a security or portfolio, rather than its book value.

Debt funds primarily focus on investing in fixed-income securities such as government- or corporate bonds and money market instruments. The prices of these securities are directly affected by interest rate changes, as bond prices and interest rates are inversely proportional. When



“Tactical call on interest rates—investing at the long end—long-term debt funds and dynamic bond funds can offer attractive double digit returns”

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interest rates go up, the prices of existing bonds decline, and MFs need to mark their net asset value (NAV) to the market daily, and hence the MTM losses.

This also resulted in debt fund outflows. From Q1FY20 to Q2FY24, debt MFs have seen outflows in 12 of the 18 quarters, amounting to around ₹1.31 lakh crore. This has led to a consistent decline in the share of debt MFs in the total AUM of the MF industry—dropping from 53% in March 2020 to 30% in September 2023, according to CareEdge Ratings.

However, muted returns are not the sole reason for this. Debt funds as an asset class have also lost their appeal due to the rising equity market and the removal of tax benefits associated with these funds. Under the new taxation laws, the indexation benefits ap-

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TIME FOR DEBT FUNDS

▶ Long-term debt funds with a modified duration of 7-11 years are expected to gain from declining interest rates

▶ The expected fall in interest rates can give a capital appreciation of 8-10% in addition to the yield to maturity

Scheme	1-year return (%)	3-year returns (%)	AUM (₹ crore)	Duration (Years)	Annualised YTM* (%)
HDFC Long Duration Debt Fund	7.74	-	1,498.28	11.46	7.51
SBI Long Duration Fund	7.97	-	1,095.74	11.17	7.49
UTI Long Duration Fund	-	-	69.10	10.97	7.42
Nippon India Nivesh Lakshya Fund	7.56	3.78	6,678.44	10.25	7.51
Axis Long Duration Fund	7.07	-	189.13	9.35	7.38
DSP Government Securities Fund	7.53	4.59	638.00	9.26	7.46
Edelweiss Government Securities Fund	6.55	4.71	134.66	9.17	7.31
Aditya Birla Sun Life Long Duration Fund	7.73	-	82.64	8.45	7.55
Invesco India Gilt Fund	7.10	3.57	23.27	8.13	7.39
Tata Gilt Securities Fund	7.93	3.89	313.76	7.94	7.42

RETURNS AS ON JANUARY 25, 2024; OTHER DATA AS ON DECEMBER 31, 2023. *YTM IS YIELD TO MATURITY

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